

ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE 6 MONTH PERIOD ENDED 31 MARCH 2021

EVEREADY  
E.A. PLC

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

|                                                                                                     | GROUP      |            | COMPANY    |            |
|-----------------------------------------------------------------------------------------------------|------------|------------|------------|------------|
|                                                                                                     | 31.03.2021 | 31.03.2020 | 31.03.2021 | 31.03.2020 |
|                                                                                                     | KES'000    | KES'000    | KES'000    | KES'000    |
| Continuing operations                                                                               |            |            |            |            |
| Sales                                                                                               | 33,678     | 74,266     | 33,678     | 74,266     |
| Cost of sales                                                                                       | (21,129)   | (53,192)   | (21,129)   | (53,192)   |
| Gross profit                                                                                        | 12,549     | 21,074     | 12,549     | 21,074     |
| Other income                                                                                        | 3,084      | 3,640      | 3,084      | 3,640      |
| Gain on disposal of property, plant and equipment                                                   | -          | 1,144      | -          | 1,144      |
| Overhead expenses                                                                                   | (40,027)   | (38,786)   | (40,027)   | (38,786)   |
| Finance costs                                                                                       | (779)      | (1,071)    | (779)      | (1,071)    |
| Income/(Loss) before tax                                                                            | (25,173)   | (14,000)   | (25,173)   | (14,000)   |
| Tax income/(expense)                                                                                | (795)      | (1,006)    | (795)      | (1,006)    |
| Income/(Loss) for the period from continuing operations                                             | (25,968)   | (15,006)   | (25,968)   | (15,006)   |
| Other comprehensive income for the period, net of tax                                               | -          | -          | -          | -          |
| Total comprehensive Income/ (loss)/ income for the period attributable to the owners of the company | (25,968)   | (15,006)   | (25,968)   | (15,006)   |
| Earnings per share                                                                                  | KES        | KES        | KES        | KES        |
| Loss per share - basic and diluted                                                                  | (0.12)     | (0.07)     | (0.12)     | (0.07)     |

STATEMENT OF CHANGES IN EQUITY

| GROUP                              | SHARE CAPITAL | TRANSLATION RESERVE | RETAINED EARNINGS | TOTAL    |
|------------------------------------|---------------|---------------------|-------------------|----------|
|                                    | KES'000       | KES'000             | KES'000           | KES'000  |
| As at 1 <sup>st</sup> October 2019 | 210,000       | 18,159              | (118,158)         | 110,001  |
| Changes in equity in 2020          |               |                     |                   |          |
| Profit/(Loss) for the year         | -             | -                   | (69,010)          | (69,010) |
| At 30th September 2020             | 210,000       | 18,159              | (187,168)         | 40,991   |
| At 1 <sup>st</sup> October 2020    | 210,000       | 18,159              | (187,168)         | 40,991   |
| Changes in equity in 2021          |               |                     |                   |          |
| Profit/(Loss) for the year         | -             | -                   | (25,968)          | (25,968) |
| At 31 <sup>st</sup> March 2021     | 210,000       | 18,159              | (213,136)         | 15,023   |
| COMPANY                            |               |                     |                   |          |
| At 1 <sup>st</sup> October 2019    | 210,000       | -                   | (99,999)          | 110,001  |
| Changes in equity in 2020          |               |                     |                   |          |
| Profit/(Loss) for the year         | -             | -                   | (69,010)          | (69,010) |
| At 30th September 2020             | 210,000       | -                   | (169,009)         | 40,991   |
| At 1 <sup>st</sup> October 2020    | 210,000       | -                   | (169,009)         | 40,991   |
| Changes in equity in 2021          |               |                     |                   |          |
| Profit/(Loss) for the year         | -             | -                   | (25,968)          | (25,968) |
| At 31 <sup>st</sup> March 2021     | 210,000       | -                   | (194,977)         | 15,023   |

COMMENT ON RESULTS

The Company was on the path of its turnaround strategy geared towards recovery. In the last twelve months the Company faced unexpected challenges due the global pandemic and closure of key customer outlets that impacted revenues and margins.

The Company supply chain was adversely impacted by the global economic slowdown and movement restrictions due to the pandemic. This impacted significantly on the lead times and availability of stock. As a result the Company recorded a loss before tax of KES 25.9 million for the period against a loss of KES 15 million in the comparative period.

DIVIDEND

The Board does not recommend the payment of an interim dividend

FUTURE OUTLOOK

The Company focus and priority is to turn around the business and achieve revenue growth.The Company secured an East Africa regional supplier of car batteries to complement the supply from Common Market for Eastern and Southern Africa (COMESA), that will mitigate the supply chain risk and reduce lead times significantly. Car batteries business contributes 80% of the revenues of the Company and this development should improve the performance of the Company in the second half of the year

BY ORDER OF THE BOARD

Mr. Thomas M. MASAKI,  
Ag. Managing Director

Mrs. Lucy W. WAITHAKA,  
Chairperson

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

|                                    | GROUP      |            | COMPANY    |            |
|------------------------------------|------------|------------|------------|------------|
|                                    | 31.03.2021 | 30.09.2020 | 31.03.2021 | 30.09.2020 |
|                                    | KES'000    | KES'000    | KES'000    | KES'000    |
| Share capital                      | 210,000    | 210,000    | 210,000    | 210,000    |
| Translation reserve                | 18,159     | 18,159     | -          | -          |
| Retained earnings                  | (213,136)  | (187,168)  | (194,977)  | (169,009)  |
| Total equity                       | 15,023     | 40,991     | 15,023     | 40,991     |
| Non-current liabilities            |            |            |            |            |
| Lease liability                    | 6,040      | 8,011      | 6,040      | 8,011      |
| Provisions for liabilities charges | 4,424      | 4,424      | 4,424      | 4,424      |
|                                    | 10,464     | 12,435     | 10,464     | 12,435     |
|                                    | 25,488     | 53,426     | 25,488     | 53,426     |
| REPRESENTED BY                     |            |            |            |            |
| Non-current assets                 |            |            |            |            |
| Right of Use (ROU) Asset           | 5,496      | 7,759      | 5,496      | 7,759      |
| Property, plant and equipment      | 3,269      | 3,505      | 3,269      | 3,505      |
| Deferred income tax                | 31,872     | 31,872     | 31,872     | 31,872     |
|                                    | 40,638     | 43,136     | 40,638     | 43,136     |
| Current assets                     |            |            |            |            |
| Inventories                        | 27,737     | 38,055     | 27,737     | 38,055     |
| Trade and other receivables        | 41,290     | 42,044     | 41,290     | 42,044     |
| Cash at bank and in hand           | 59,594     | 77,850     | 59,594     | 77,850     |
|                                    | 128,620    | 157,949    | 128,620    | 157,949    |
| Current liabilities                |            |            |            |            |
| Trade and other payables           | 114,556    | 129,681    | 114,556    | 129,681    |
| Income tax                         | 10,042     | 4,547      | 10,042     | 4,547      |
| Borrowings                         | 19,173     | 13,431     | 19,173     | 13,431     |
|                                    | 143,770    | 147,659    | 143,770    | 147,659    |
| Net current(liabilities)/assets    | (15,150)   | 10,290     | (15,150)   | 10,290     |
|                                    | 25,488     | 53,426     | 25,488     | 53,426     |

CONSOLIDATED STATEMENT OF CASH FLOWS

|                                                         | GROUP      |            | COMPANY    |            |
|---------------------------------------------------------|------------|------------|------------|------------|
|                                                         | 31.03.2021 | 30.09.2020 | 31.03.2021 | 30.09.2020 |
|                                                         | KES'000    | KES'000    | KES'000    | KES'000    |
| Cash flows from operating activities                    |            |            |            |            |
| Profit/(Loss) before tax                                | (25,968)   | (69,010)   | (25,968)   | (69,010)   |
| Adjustments for:                                        |            |            |            |            |
| Income tax                                              | 795        | 19,073     | 795        | 19,073     |
| Depreciation charge                                     | 195        | 972        | 195        | 972        |
| Depreciation of right -of- use asset                    | 2,303      | 3,880      | 2,303      | 3,880      |
| Gain on disposal of assets                              | -          | (1,144)    | -          | (1,144)    |
| Interest paid on lease liabilities                      | 541        | 896        | 541        | 896        |
| Interest expense                                        | 237        | 2,030      | 237        | 2,030      |
| Interest receivable                                     | (2,489)    | (5,399)    | (2,489)    | (5,399)    |
| Write off/(Write back) of assets                        | -          | -          | -          | -          |
| Operating profit before working capital changes         | (24,385)   | (48,702)   | (24,385)   | (48,702)   |
| Decrease/(increase) in trade and other receivables      | 754        | 38,510     | 754        | 38,510     |
| Decrease/(increase) in inventories                      | 9,924      | (2,041)    | 9,924      | (2,041)    |
| Decrease in provision for liabilities                   | -          | (4,423)    | -          | (4,423)    |
| (Decrease)/increase in trade and other payables         | (9,631)    | 17,953     | (9,631)    | 17,953     |
| Cash (used in)/generated from operations                | (23,338)   | 1,297      | (23,338)   | 1,297      |
| Tax paid                                                | (400)      | (2,372)    | (400)      | (2,372)    |
| Interest paid                                           | (237)      | (2,030)    | (237)      | (2,030)    |
| Interest paid on lease liabilities                      | (541)      | (896)      | (541)      | (896)      |
| Interest income                                         | 2,489      | 5,399      | 2,489      | 5,399      |
| Net cash (used in)/generated from operating activities  | (22,027)   | 1,398      | (22,027)   | 1,398      |
| Cash flows from investing activities                    |            |            |            |            |
| Purchase of property, plant and equipment               | -          | (80)       | -          | (80)       |
| Proceeds from disposal of property, plant and equipment | -          | 1,232      | -          | 1,232      |
| Net cash generated from investing activities            | -          | 1,152      | -          | 1,152      |
| Cash flows from financing activities                    |            |            |            |            |
| Dividend paid                                           | -          | -          | -          | -          |
| Payments of principal portion of the lease liability    | (1,971)    | (3,628)    | (1,971)    | (3,628)    |
| Receipt/(repayment) of borrowings                       | 927        | (9,490)    | 927        | (9,490)    |
| Net cash generated from/(used in) financing activities  | (1,043)    | (13,118)   | (1,044)    | (13,118)   |
| Net increase in cash and cash equivalents               | (23,071)   | (10,568)   | (23,071)   | (10,568)   |
| Cash and cash equivalents at start of the year          | 67,621     | 78,189     | 67,621     | 78,189     |
| Cash and cash equivalents at end of the period          | 44,550     | 67,621     | 44,550     | 67,621     |

This extract is based on the unaudited accounts of Eveready East Africa PLC for the six months period ended 31 March 2021 which were approved by the Board of Directors on 20th May 2021. The interim financial statements can be accessed on the company's website [www.eveready.co.ke](http://www.eveready.co.ke). The Principal accounting policies adopted in the preparation of the financial statements are similar to those applied in the previous financial statements.







Long Lasting, Durable  
High Cranking Performance

CONNECT & GO

BATTERY RING

Your Turbo Car Battery  
is a call away  
+254 722 205 469/0733 655 556